The Complete Tenant Screening Guide

Select Quality Tenants and Minimize Risk

Table of Contents

1. Introduction to Tenant Screening
2. Application Process
3. Income Verification
4. Credit Analysis
5. Background & Criminal History
6. Rental History Verification
7. Employment Verification
8. Reference Checks
9. Red Flags & Problem Indicators
10. Tenant Scoring System
11. Legal Compliance
12. Final Decision & Documentation

---

1. Introduction to Tenant Screening

Why Tenant Screening Matters

Quality tenants are the foundation of profitable rental properties. Poor tenant selection leads to:

- Late or non-payment of rent

- Property damage
- Eviction costs ($5,000-15,000)
- Vacancy periods
- Legal disputes
- Stress and headaches

The Cost of Bad Tenants

- Average eviction cost: $5,000-15,000
- Average vacancy period: 30-60 days
- Average property damage: $2,000-10,000
- Legal fees: $1,000-5,000
- Lost rent during eviction: $2,000-8,000
- **Total cost of one bad tenant: $15,000-50,000+**

Screening Objectives

- Verify tenant identity and background
- Assess financial stability and ability to pay
- Evaluate rental history and past behavior
- Identify red flags and problem tenants
- Make objective, documented decisions
- Ensure legal compliance

Fair Housing Compliance

Screen all applicants using the same criteria. Never discriminate based on:

- Race or color
- National origin
- Religion
- Sex or gender identity
- Disability

- Familial status
- Sexual orientation

---

2. Application Process

Rental Application Requirements

Essential Information to Collect

- Full legal name (as appears on ID)
- Date of birth
- Social Security number
- Driver's license number
- Phone number (mobile and home)
- Email address
- Current address
- Employer and job title
- Annual income
- Previous addresses (last 3 years)
- Previous landlord contact information
- Personal references
- Authorization to conduct background and credit checks
- Signature and date

Application Form Best Practices

- Use a standardized form for all applicants
- Clearly state all required information
- Include authorization for background/credit checks
- Include fair housing statement
- Provide space for applicant to explain any issues

- Request applicant to sign and date

Application Fee

- Charge application fee ($25-50) to cover screening costs
- Non-refundable fee
- Clearly disclose fee in listing
- Keep records of all fees collected
- Use fees only for screening purposes

Initial Application Review

Completeness Check

- Is all required information provided?
- Are phone numbers and email valid?
- Is employment information complete?
- Are previous addresses complete?
- Is authorization signed?

Preliminary Screening

- Is applicant employed?
- Does applicant meet income requirement (3x rent)?
- Any obvious red flags?
- Does applicant seem reliable?

Next Steps

- If application incomplete: Request missing information
- If application incomplete and applicant unresponsive: Reject application
- If application complete: Proceed with full screening

---

3. Income Verification

Income Requirements

Minimum Income Standard

Target: 3x monthly rent

Example: If rent is $1,500/month, applicantshouldearn$4,500/month or $54,000/year

Why 3x Rent?

- Ensures rent is affordable (less than 33% of income)
- Provides buffer for other expenses
- Reduces risk of non-payment
- Standard industry practice
- Acceptable to most lenders

Flexibility Considerations

- May accept 2.5x rent with excellent credit and references
- May require 4x rent with marginal credit
- Consider co-signer if income below requirement
- Adjust based on market and property type

Acceptable Income Sources

W-2 Employment

- Most reliable income source
- Verify with employer
- Request recent pay stubs (last 2 months)
- Verify employment is ongoing

Self-Employment

- Requires 2 years of tax returns
- Review profit and loss statements
- Verify business is established and stable
- Higher scrutiny than W-2 employment

Retirement Income

- Verify with Social Security statement
- Pension statements
- Retirement account statements
- Generally considered stable

Disability/SSI

- Verify with Social Security statement
- Considered stable income
- Fair housing compliance: Don’t discriminate

Child Support/Alimony

- Verify with court documents
- Must be current (not past due)
- Verify payment history
- Verify ongoing obligation

Unemployment Benefits

- Temporary income source
- Verify amount and duration
- Assess likelihood of employment
- Generally not reliable long-term

Co-Signer Income

- If applicant's income insufficient, use co-signer
- Co-signer must meet 3x rent requirement
- Co-signer liable if tenant doesn't pay
- Get signed co-signer agreement

Income Verification Process

Step 1: Request Documentation

- Ask applicant to provide recent pay stubs (last 2 months)
- Request W-2s or tax returns
- Request employment verification letter
- Request bank statements showing income deposits

Step 2: Verify with Employer

- Call employer's HR department
- Verify employment status (current employee)
- Verify job title and tenure
- Verify income amount
- Verify employment is ongoing
- Document all information

Step 3: Analyze Income Stability

- How long has applicant been employed?
- Is employment stable or temporary?
- Has applicant changed jobs frequently?
- Is income increasing or decreasing?
- Are there gaps in employment?

Step 4: Document Everything

- Keep copies of all pay stubs
- Keep records of employer verification calls
- Document income amount and verification date
- Keep notes on income stability assessment

Income Verification Red Flags

- Income just barely meets 3x requirement
- Frequent job changes (every 1-2 years)
- Recent job change (less than 3 months)
- Gaps in employment history
- Income inconsistent with job title
- Self-employment income declining
- Applicant refuses to provide documentation
- Inconsistencies in application vs. documentation

---

4. Credit Analysis

Obtaining Credit Reports

Where to Get Credit Reports

- Equifax, Experian, TransUnion (the three major bureaus)
- Use a credit reporting service (Clarity, LexisNexis, etc.)
- Cost: $20-50 per report
- Requires applicant authorization

What's Included in Credit Report

- Payment history (35% of credit score)

- Credit utilization (30% of score)
- Length of credit history (15% of score)
- Credit inquiries (10% of score)
- Credit mix (10% of score)
- Negative items (collections, charge-offs, bankruptcies)
- Positive accounts (credit cards, loans, mortgages)

Credit Score Interpretation

Credit Score Ranges

- **Excellent (750+)**: Very low risk, excellent payment history
- **Good (700-749)**: Low risk, good payment history
- **Fair (650-699)**: Moderate risk, some payment issues
- **Poor (600-649)**: High risk, significant payment issues
- **Very Poor (<600)**: Very high risk, serious payment issues

Minimum Credit Score Requirement

- **Standard**: 650+ (industry standard)
- **Competitive Market**: 700+ (more selective)
- **Challenged Market**: 600+ (less selective)
- **With Co-Signer**: May accept lower score

Credit Report Analysis

Payment History (Most Important)

- On-time payments: Positive indicator
- Late payments (30 days): Concerning
- Late payments (60+ days): Major red flag
- Collections: Serious red flag
- Charge-offs: Serious red flag

- Evictions: Automatic rejection

Credit Utilization

- Low utilization (<30%): Positive (responsible use)
- Moderate utilization (30-70%): Acceptable
- High utilization (>70%): Concerning (financial stress)
- Maxed out cards: Major red flag (financial stress)

Length of Credit History

- 10+ years: Positive (established credit)
- 5-10 years: Acceptable
- 1-5 years: Concerning (limited history)
- year: Major concern (no history)

Recent Inquiries

- 1-2 recent inquiries: Normal (shopping for credit)
- 3+ recent inquiries: Concerning (desperate for credit)
- Multiple inquiries in short time: Major red flag

Credit Report Red Flags

Automatic Rejection

- Recent eviction (within 2 years)
- Active collections
- Recent bankruptcy (within 2 years)
- Foreclosure or short sale (within 2 years)

Serious Concerns

- Multiple late payments in past 12 months
- Charge-offs or collections

- Bankruptcy (within 5 years)
- Foreclosure (within 5 years)
- Credit score below 600

Moderate Concerns

- 1-2 late payments in past 12 months
- Paid collections (resolved)
- High credit utilization
- Multiple recent credit inquiries
- Limited credit history

Explanation Opportunity

- Allow applicant to explain negative items
- Consider extenuating circumstances (job loss, illness, divorce)
- Assess whether issue is resolved or ongoing
- Document explanation in file

---

5. Background & Criminal History

Background Check Services

What to Look For

- Licensed background check company
- Compliance with Fair Credit Reporting Act (FCRA)
- Includes criminal history, eviction history, address verification
- Detailed report with explanations
- Cost: $30-100 per report

What's Included

- Criminal history (felonies and misdemeanors)
- Eviction history
- Address history verification
- Sex offender registry check
- Alias names and variations

Criminal History Analysis

Crimes of Concern

- **Violent Crimes**: Assault, battery, robbery, murder
- **Drug Crimes**: Drug manufacturing, distribution, possession with intent
- **Sex Crimes**: Sexual assault, child exploitation, indecent exposure
- **Property Crimes**: Burglary, theft, arson
- **Financial Crimes**: Fraud, embezzlement, forgery

Evaluation Criteria

- **Type of Crime**: Violent crimes more concerning than property crimes
- **Severity**: Felony more concerning than misdemeanor
- **Recency**: Recent crimes more concerning than old crimes
- **Pattern**: Multiple crimes indicate pattern vs. isolated incident
- **Rehabilitation**: Evidence of rehabilitation is positive

Time Considerations

- Felony within 5 years: Serious concern
- Felony 5-10 years ago: Moderate concern
- Felony 10+ years ago: Less concern (depends on type)
- Misdemeanor within 3 years: Moderate concern
- Misdemeanor 3+ years ago: Less concern

Explanation Opportunity

- Allow applicant to explain criminal history
- Consider context and circumstances
- Assess rehabilitation and current behavior
- Document explanation in file
- Fair housing: Don't automatically reject based on criminal history

Eviction History

Eviction Search

- Search court records for eviction history
- Included in most background checks
- Search current county and previous counties
- Look for pattern of evictions

Eviction Analysis

- **Recent Eviction (within 2 years)**: Automatic rejection
- **Eviction 2-5 years ago**: Serious concern, requires explanation
- **Eviction 5+ years ago**: Less concern, assess circumstances
- **Multiple Evictions**: Pattern of non-payment, automatic rejection

Explanation Opportunity

- Allow applicant to explain eviction
- Consider circumstances (job loss, landlord dispute, etc.)
- Assess whether issue is resolved
- Document explanation in file

Sex Offender Registry

Registry Check

- Check national sex offender registry
- Available online in most states
- Free resource
- Should be part of standard screening

Interpretation

- Sex offender on registry: Major concern
- Consider nature of offense and risk
- Fair housing: Can’t automatically reject based on status
- Document decision and reasoning

---

6. Rental History Verification

Contacting Previous Landlords

How to Find Previous Landlords

- Application should include previous landlord contact info
- May need to research if contact info not provided
- Use online resources (property records, etc.)
- Ask applicant for contact information

Questions to Ask Previous Landlords

1. “How long did [applicant] live at your property?”
2. “What was the rental amount?”
3. “Did [applicant] pay rent on time?”
4. “Were there any late payments or issues?”

5. “Were there any maintenance issues or complaints from neighbors?”
6. “Did [applicant] give proper notice before moving?”
7. “What was the condition of the property when they moved out?”
8. “Were there any damages beyond normal wear and tear?”
9. “Would you rent to [applicant] again?”
10. “Is there anything else I should know?”

Documentation

- Document date of call
- Document landlord name and property
- Document responses to each question
- Note any concerns or red flags
- Keep notes in applicant file

Rental History Red Flags

Major Red Flags

- Previous eviction
- Chronic late payments
- Disputes with previous landlords
- Property damage beyond normal wear
- Noise complaints or neighbor issues
- Lease violations

Moderate Concerns

- 1-2 late payments
- Short tenancy (less than 1 year)
- Frequent moves (every 1-2 years)
- Maintenance complaints
- Disputes with landlord

Positive Indicators

- Long tenancy (3+ years)
- Consistent on-time payments
- Positive landlord references
- Stable rental history
- Good neighbor relations

Verification Challenges

When Landlord Won't Cooperate

- Try alternative contact methods
- Request written reference instead
- Check online reviews or ratings
- Document attempts to verify
- Use other screening information to assess

When Previous Landlord Negative

- Allow applicant to explain
- Consider circumstances
- Assess whether issue is pattern or isolated
- Consider other screening factors
- Document decision

---

7. Employment Verification

Employer Verification Process

Information to Verify

- Current employment status

- Job title and position
- Length of employment
- Income/salary amount
- Employment is ongoing (not temporary)
- Likelihood of continued employment

How to Verify

- Call employer's HR department
- Ask for verification department
- Provide applicant's name and dates of employment
- Ask for confirmation of employment
- Ask for job title and income
- Document all information

Documentation

- Document employer name and phone number
- Document date of verification call
- Document person who verified information
- Document employment status and income
- Document any concerns about employment stability

Employment Stability Assessment

Positive Indicators

- 3+ years with current employer
- Stable employment history
- Promotion or advancement
- Professional position
- Established company

Concerning Indicators

- Recent job change (less than 3 months)
- Frequent job changes (every 1-2 years)
- Gaps in employment
- Temporary or seasonal employment
- Unstable industry or company

Questions to Ask Applicant

- “How long have you been in your current position?”
- “What is your job title and responsibilities?”
- “Is your employment permanent or temporary?”
- “Do you expect to continue in this position?”
- “Have you changed jobs frequently?”
- “Are there any gaps in your employment?”

---

8. Reference Checks

Personal References

What to Ask

- “How long have you known [applicant]?”
- “What is your relationship to [applicant]?”
- “How would you describe [applicant]’s character?”
- “Is [applicant] responsible and reliable?”
- “Would you recommend [applicant] as a tenant?”
- “Is there anything I should know about [applicant]?”

Limitations

- References are often biased (friends/family)

- May not provide honest feedback
- Limited value compared to other screening
- Use as supplementary information only

Professional References

What to Ask

- “How long have you worked with [applicant]?”
- “What is your professional relationship?”
- “Is [applicant] reliable and responsible?”
- “Would you recommend [applicant]?”
- “Is there anything I should know?”

Value

- More objective than personal references
- Can assess professionalism and reliability
- Better indicator of character
- Use as supplementary information

---

9. Red Flags & Problem Indicators

Major Red Flags (Automatic Rejection)

- Recent eviction (within 2 years)
- Active criminal charges
- Violent crime conviction
- Drug manufacturing/distribution conviction
- Sex offense conviction
- Multiple evictions in history
- Active collections or judgments

- Applicant refuses to provide information
- Inconsistencies or lies on application

Serious Concerns (Require Explanation)

- Bankruptcy within 2 years
- Foreclosure within 2 years
- Eviction 2-5 years ago
- Multiple late payments in past 12 months
- Criminal conviction within 5 years
- Credit score below 600
- Income below 2.5x rent
- Frequent job changes
- Recent job change (less than 3 months)

Moderate Concerns (Consider Context)

- 1-2 late payments in past 12 months
- Credit score 600-650
- Income 2.5-3x rent
- Recent move (less than 1 year)
- Limited rental history
- Limited credit history
- Gaps in employment

Positive Indicators

- Credit score 700+
- Income 4x+ rent
- Long rental history (5+ years)
- Stable employment (3+ years)
- Positive landlord references

- No negative items on credit report
- No eviction history
- No criminal history

---

10. Tenant Scoring System

Objective Scoring Method

Create a scoring system to objectively evaluate all applicants:

Criteria	Excellent (3)	Good (2)	Acceptable (1)	Reject (0)
Income	4x+ rent	3-4x rent	2.5-3x rent	<2.5x rent
Credit Score	750+	700-749	650-699	<650
Payment History	No late payments	1-2 late payments	3-4 late payments	Collections/eviction
Rental History	5+ years stable	3-5 years stable	1-3 years, some moves	Evictions/disputes
Employment	3+ years current	1-3 years current	Recently employed	Unstable/unemployed
References	Excellent	Good	Acceptable	Poor/none
Criminal History	None	None	None	Serious crime

Scoring Guide

16-18 Points: Excellent Tenant

- Approve immediately
- Lowest risk
- Best candidate

13-15 Points: Good Tenant

- Approve
- Low risk
- Solid candidate

10-12 Points: Acceptable Tenant

- Approve with caution
- Moderate risk
- Consider higher deposit or co-signer
- May require additional conditions

7-9 Points: Marginal Tenant

- Reject or require significant conditions
- Higher risk
- Consider co-signer
- Require higher deposit
- May not be worth the risk

Points: Reject

- Do not approve
- High risk
- Likely to cause problems

Using the Scoring System

Benefits

- Objective decision-making
- Consistent application to all applicants
- Defensible in legal disputes
- Fair housing compliance
- Reduces discrimination

Implementation

- Apply same criteria to all applicants
- Document scores for all applicants
- Use score to make decisions
- Keep scores in applicant files
- Review scores periodically

---

11. Legal Compliance

Fair Housing Act Compliance

Protected Classes

Never discriminate based on:

- Race or color
- National origin
- Religion
- Sex or gender identity
- Disability
- Familial status (children)
- Sexual orientation

Compliant Screening Practices

- Apply same criteria to all applicants
- Document all decisions with reasons
- Don’t ask questions about protected classes
- Provide reasonable accommodations for disabilities
- Don’t make assumptions based on protected characteristics

Non-Compliant Practices

- Asking about family plans or children
- Asking about national origin or accent
- Asking about disability or health
- Asking about sexual orientation
- Treating applicants differently based on protected class
- Making assumptions based on appearance

Fair Credit Reporting Act (FCRA) Compliance

Required Disclosures

- Disclose that you will obtain credit report
- Get written authorization from applicant
- Use only for credit/rental purposes
- Provide copy of report if requested
- Notify applicant if denied based on report

Adverse Action Notice

- If you deny application based on credit report, provide:
  - Notice of denial
  - Name and contact info of credit reporting agency
  - Statement of applicant's right to dispute
  - Copy of credit report (if requested)

Documentation

- Keep copies of all authorizations
- Keep copies of credit reports
- Document all decisions
- Keep records for 3-7 years

State and Local Laws

Additional Protections

- Some states have additional protected classes
- Some states limit criminal history consideration
- Some states require specific notice procedures
- Some states have specific eviction procedures
- Research your state and local laws

Consultation

- Consult with local attorney
- Review local rental laws
- Understand local fair housing rules
- Stay compliant with all regulations

---

12. Final Decision & Documentation

Making the Final Decision

Decision Factors

- Screening score
- Income verification
- Credit analysis
- Rental history
- Employment verification
- Criminal history
- References
- Overall risk assessment

Approval Criteria

- Meets minimum income requirement (3x rent)
- Credit score acceptable (650+)
- No recent evictions
- No serious criminal history
- Positive rental references
- Stable employment
- Overall score acceptable

Rejection Criteria

- Income below requirement
- Credit score too low
- Recent eviction
- Serious criminal history
- Negative rental references
- Unstable employment
- Overall score unacceptable

Documentation

Applicant File Contents

- Completed application
- Copy of ID
- Credit report
- Background check report
- Employment verification documentation
- Landlord reference notes
- Income verification documents
- Screening score

- Decision and reasoning
- Signed lease agreement

Decision Letter

APPROVAL LETTER

```
[Date]
[Applicant Name]
[Address]

Dear [Applicant Name],

Your application for [Property Address] has been approved.
Please contact us to schedule move-in.

Move-in Date: [Date]
Lease Term: [Term]
Monthly Rent: $[Amount]
Security Deposit: $[Amount]

Sincerely,
[Landlord/Property Manager]
```

DENIAL LETTER

```
[Date]
[Applicant Name]
[Address]

Dear [Applicant Name],

Thank you for your application for [Property Address].
Unfortunately, we are unable to approve your application at this time.

This decision was based on: [Reason - e.g., credit score, income, rental
history]

If you believe this decision is in error, or if you would like to discuss
this further, please contact us at [Phone/Email].

Sincerely,
[Landlord/Property Manager]
```

Record Retention

How Long to Keep Records

- Keep all screening records for 3-7 years
- Keep copies of all decisions
- Keep documentation of reasoning
- Keep records for all applicants (approved and rejected)
- Maintain organized filing system

Why Keep Records

- Legal compliance
- Fair housing documentation
- Dispute resolution
- Reference for future decisions
- Audit trail

Conclusion

Effective tenant screening is the foundation of successful property management. By thoroughly screening all applicants using objective criteria, you'll:

- Attract quality tenants
- Minimize non-payment risk
- Reduce property damage
- Avoid evictions
- Maximize profitability
- Protect your investment

Remember: The best tenant is one you never have problems with. Take time to screen properly.